

16-3c Brand Names

Advertising is closely related to the existence of brand names. In many markets, there are two types of firms. Some firms sell products with widely recognized brand names, while other firms sell generic substitutes. For example, in a typical drugstore, you can find Bayer aspirin on the shelf next to generic aspirin. In a typical grocery store, you can find Pepsi next to less familiar colas. Most often, the firm with the brand name spends more on advertising and charges a higher price for its product.

Just as there is disagreement about the economics of advertising, there is disagreement about the economics of brand names. Let's consider both sides of the debate.

Critics argue that brand names cause consumers to perceive differences that do not really exist. In many cases, the generic good is almost indistinguishable from the brand-name good. Consumers' willingness to pay more for the brand-name good, these critics assert, is a form of irrationality fostered by advertising. Economist Edward Chamberlin, one of the early developers of the theory of monopolistic competition, concluded from this argument that brand names were bad for the economy. He proposed that the government discourage their use by refusing to enforce the exclusive trademarks that companies use to identify their products.

More recently, economists have defended brand names as a useful way for consumers to ensure that the goods they buy are of high quality. There are two related arguments. First, brand names provide consumers with *information* about quality when quality cannot be easily judged in advance of purchase. Second, brand names give firms an *incentive* to maintain high quality because firms have a financial stake in maintaining the reputation of their brand names.

To see how these arguments work in practice, consider a famous brand name: McDonald's. Imagine that you are driving through an unfamiliar town and want to stop for lunch. You see a McDonald's and a local restaurant next to it. Which do you choose? The local restaurant may offer better food at lower prices, but you have no way of knowing that in advance. By contrast, McDonald's offers a consistent product across many cities and countries. Its brand name is useful to you as a way of judging the quality of what you are about to buy.

The McDonald's brand name also ensures that the company has an incentive to maintain quality. For example, if some customers were to become ill from spoiled food sold at a McDonald's, the news would be disastrous for the company. McDonald's would lose much of the valuable reputation that it has built up with years of expensive advertising. As a result, it would lose sales and profit not only in the outlet that sold the bad food but also in many other McDonald's outlets throughout the country. By contrast, if some customers were to become ill from bad food at a local restaurant, that restaurant might have to close down, but the lost profits would be much smaller. Hence, McDonald's has a greater incentive to ensure that its food is safe.

The debate over brand names thus centers on the question of whether consumers are rational in preferring brand names to generic substitutes. Critics argue that brand names are the result of an irrational consumer response to advertising. Defenders argue that consumers have good reason to pay more for brand-name products because they can be more confident in the quality of these products.

QuickQuiz

6. If advertising makes consumers more loyal to particular brands, it could _____ the elasticity of demand and _____ the markup of price over marginal cost.
- a. increase; increase
 - b. increase; decrease
 - c. decrease; increase
 - d. decrease; decrease

7. If advertising makes consumers more aware of alternative products, it could ____ the elasticity of demand and ____ the markup of price over marginal cost.

- a. increase; increase
- b. increase; decrease
- c. decrease; increase
- d. decrease; decrease

8. Advertising can be a signal of quality

- a. if advertising is freely available to all firms.
- b. if the benefit of attracting customers is greater for firms with better products.
- c. only if consumers are irrationally attracted to products they see advertised.
- d. only if the content of the ads contains credible information about the products.